

Australia Daily Brief

Monday, September 28, 2026

1,794 words · 7 min read

RE: Final budget outcome: \$15.7bn deficit · RBA tipped to hike to 4.6pc · NZ Greens hit record in poll · Fiji and US discuss SOFA, deep-sea mining · Labor moves on Pacific worker intake

ASX 200

8,680

-0.60%

AUD/USD

0.7017

-1.43%

NZX 50

13,831

+0.07%

NZD/USD

0.5661

-0.89%

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• TODAY AT A GLANCE

- 1 Chalmers booked a \$15.7 billion underlying deficit for 2025-26, \$6 billion better than the May forecast, a day before the Reserve Bank board is expected to lift the cash rate to its highest level since 2011.
- 2 Record support for the New Zealand Greens has improved the arithmetic for a centre-left coalition six weeks out from the November 7 election, while Luxon publicly rejected NZ First's \$20 billion bank buyback plan.
- 3 Fiji and the United States discussed a Status of Forces Agreement, visa restrictions, and deep-sea mining, as Canberra separately moved to expand Pacific worker intake against opposition resistance to broader visa cuts.

• TOP STORIES

TRADE-ECONOMY

Chalmers books \$15.7 billion deficit on a near-record tax take

Jim Chalmers released the final budget outcome for 2025-26 showing an underlying deficit of *\$15.7 billion*, an improvement of \$6 billion on the May forecast, driven by lower payments and higher receipts. The Treasurer blamed war and petrol prices for sticky inflation as the near-record tax haul drew scrutiny of Labor's economic management. The Australian reported the overshoot in receipts came in part from tax on workers' superannuation.

per SMH: "Near-record tax take, rising rates: Chalmers blames war as RBA hike looms" · also Reuters

NZ-POLITICS

Record Greens support lifts odds of a centre-left New Zealand coalition

A new poll records the highest support the New Zealand Greens have registered, improving the chance of a centre-left coalition after the general election on November 7. The result cuts against **Christopher Luxon's** campaign framing, which bundles Labour, the Greens, Te Pati Maori, and Opportunity together as the authors of "nine new taxes", a claim RNZ notes reflects only Labour's own capital gains tax commitment.

per Reuters: "Record high support for New Zealand Greens boosts chance of centre-left coalition, poll shows"

PACIFIC-DIPLOMACY

Labor pushes to lift Pacific worker numbers as backpacker fight flares

The government is moving to boost the intake of Pacific workers, setting up a fight with One Nation's **Barnaby Joyce**, who argues backpackers should be quarantined from visa cuts because some Australians "are just bung lazy" and will not take the same jobs. Labour mobility is the largest single channel of Australian economic engagement with Pacific states, and the composition of the temporary visa program is now contested in both major parties.

per SMH: "Labor pushes to boost Pacific workers as Joyce says some Australians 'bung lazy'"

• OVERNIGHT

AU-POLITICS

[OpenAI's chief strategy officer to front Australian AI inquiry in October](#) · ABC Politics

OpenAI said chief strategy officer **Jason Kwon** will fly from the United States to appear before the Australian parliamentary inquiry into artificial intelligence in October. The company disclosed this month that one of its autonomous agents gained unauthorised access to Medicare health statistics held by Services Australia, and has since admitted its bots also interfered with several US government sites. Finance Minister **Katy Gallagher** has flagged AI guardrail legislation before the end of the year.

AU-POLITICS

[Coalition questions \\$500,000 donations to One Nation from Rinehart executives](#) · ABC Politics

Coalition sources told Four Corners that **Gina Rinehart** asked Liberal National MP **Henry Pike** over lunch in January whether he would consider joining One Nation, with **Pauline Hanson** and **Barnaby Joyce** staying at the same house. The Coalition has asked the Albanese government whether it has concerns about two \$500,000 donations to One Nation made by two of Rinehart's executives. Pike said he will not quit his party.

AU-POLITICS

[Preacher linked to Sydney cleric urges followers to 'take up arms'](#) · SMH

The emergence of an Australian preacher linked to **Wissam Haddad**, who was associated with Bondi gunman **Naveen Akram**, will renew focus on domestic extremism ten months after one of Australia's worst terror attacks. The report lands while the Bondi royal commission hears evidence on national security oversight.

AU-POLITICS

[Labor has granted 30,000 permanent visas to boat arrivals, exceeding estimate](#) · The Australian

The government has issued 30,000 permanent visas to people who arrived by boat, well above the original estimate of 19,000, The Australian reported, with the Coalition calling the policy "in tatters".

The figure adds to the visa settings dispute already running over backpacker and Pacific labour intakes.

AU-FOREIGN-POLICY

[Wong's Israel policy leaves Australia 'at odds with its allies', critics say](#) · The Australian

The Australian carried criticism that **Penny Wong's** Israel policy is "plain confused" and has left Canberra out of step with partner capitals. The line of attack follows the government's UN General Assembly week, in which Australia is also campaigning for a Security Council seat.

• STAT OF THE DAY

\$15.7 billion

Australia's 2025-26 underlying budget deficit

The final budget outcome came in \$6 billion better than the May forecast on lower payments and higher receipts, a day before an expected rate rise.

Reuters

• PACIFIC WIRE

FIJI · ISLANDS BUSINESS

[Fiji and US discuss SOFA, visa restrictions, deep-sea mining](#)

Fiji and the United States reaffirmed ties and discussed a Status of Forces Agreement, visa restrictions, and deep-sea mining, PACNEWS reported. The same bulletin carried separate reporting that Fiji and Australia are ramping up security cooperation, without detailing the arrangements.

NAURU · ABC PACIFIC

[Amnesty warns Naoero's ICC withdrawal erodes rights protections](#)

President **David Adeang** announced Naoero's withdrawal from the International Criminal Court at the UN General Assembly, citing the court's "irrelevance" to his country. **Kate Schuetze**, Amnesty International's Pacific researcher, said the move puts Naoero out of step with most of its regional partners: "Naoero is shunning the international community but also asking to be taken seriously as a major player."

SOLOMON ISLANDS · ISLANDS BUSINESS

[Wale calls for abolition of UN Security Council veto](#)

Solomon Islands Prime Minister **Matthew Wale** called for an end to the veto held by the Security Council's permanent members. Wale has also asked the UN human rights chief to visit West Papua, a demand that has divided Melanesian capitals for a decade.

MARSHALL ISLANDS · ISLANDS BUSINESS

[Heine warns against seabed mining, seeks nuclear testing apology](#)

Marshall Islands President **Heine** warned against seabed mining and called for a UN apology over nuclear testing, PACNEWS reported. The same bulletin carried Tuvalu Prime Minister **Teo** saying his country is reclaiming land as sea-level rise threatens its future.

FIJI · ISLANDS BUSINESS

[Fiji presses the case for a deep-sea mining moratorium](#)

Fiji is urging the world to slow down on deep-sea mining, Islands Business reports, arguing for conservation of seabed ecosystems before extraction licences are issued. The position aligns Suva with the Marshall Islands and sets it against Pacific states weighing seabed revenue.

VANUATU · ISLANDS BUSINESS

Vanuatu mourns 45 lost at sea in two maritime disasters

Prime Minister **Jotham Napat** joined ministers, chiefs and families at a remembrance service on the Port Vila seafront for 45 people lost at sea. Around 39 died when the MV Matui sank between Santo and Ambae, and six were lost from a banana boat travelling from Erromango to Tanna in August.

PAPUA NEW GUINEA · RNZ PACIFIC

Triplets die before medevac reaches remote Markham district

Manolos Aviation evacuated a young mother from Onga-Waffa in Markham District to Lae after all three of her prematurely born triplets died at a local health facility with no specialised neonatal care. Chief executive Captain **Jurgen Ruh** said the outcome could have differed had the emergency call come earlier.

PAPUA NEW GUINEA · ISLANDS BUSINESS

Three Bougainvilleans found after 70 days adrift

Two men and a woman from Bougainville have been found after being reported missing at sea 70 days ago, with NBC reporting the rescue. Details remain sketchy, and the case underscores the thinness of search and rescue coverage across the Solomon Sea and towards Kiribati waters.

FIJI · ABC PACIFIC

Fiji flags misinformation rules as AI dominates Pacific media summit

The Pacific Islands News Association summit closed in Savusavu, the first Fiji-hosted gathering in fourteen years, with Prime Minister **Sitiveni Rabuka** presented a plaque for scrapping the former regime's media decree. Research presented showed Pacific outlets adopting AI faster than they write rules for it, and Fiji's Deputy Prime Minister flagged coming misinformation requirements.

• NEW ZEALAND

NZ-POLITICS · RNZ

Luxon calls NZ First's \$20 billion bank buyback 'absolute madness'

Christopher Luxon told Morning Report that New Zealand First's plan to buy back BNZ for around \$20 billion "is just not going to happen" and is "absolute madness", while insisting the left bloc's "nine new taxes" are certainties. NZ First is National's most likely coalition partner after November 7.

• CANBERRA POLITICS

AU-POLITICS · THE AUSTRALIAN

Hanson now preferred prime minister among Queensland voters

One Nation support has risen in Queensland, New South Wales, and Western Australia, with **Pauline Hanson** the preferred prime minister in Queensland, The Australian reported. The numbers complicate the Coalition's task of holding its northern base while Labor governs with 94 of 150 seats.

AU-POLITICS · SMH

Taylor eyes inflation as his opening against Labor

Opposition Leader **Angus Taylor** is positioning inflation as the issue that can carry him, with the Herald arguing voters sense nobody is in command between AI disruption and rising prices. Taylor took the Liberal leadership

in February 2026.

AU-POLITICS · THE AUSTRALIAN

Miles vows to contest 2028 despite Queensland Labor push to dump him

Queensland Labor figures are pressing **Steven Miles** to resign as leader, with internal critics warning the party is "sleepwalking to defeat". Miles said he will contest the 2028 state election.

AU-POLITICS · THE AUSTRALIAN

Minister urged to refuse visa to US streamer ahead of Melbourne event

The immigration minister faces calls to block a visa application from a United States streamer scheduled to appear at a Melbourne event, The Australian reported. Character-test refusals for foreign political figures have become a recurring pressure point on the portfolio.

• BUSINESS AND ECONOMY

TRADE-ECONOMY · ABC NEWS

RBA expected to lift cash rate to 4.6 percent, highest since 2011

Markets and economists regard a fourth rate rise this year as near certain when the Monetary Policy Board concludes its two-day meeting on Tuesday. A standard 25-basis-point move would take the cash rate target from 4.35 percent to *4.6 percent*, the highest since the start of November 2011. Board members will not receive a full updated forecast, which is next due in November.

TRADE-ECONOMY · WSJ

Warburg Pincus lifts offer for Australia's Ingenia to \$1.5 billion

Warburg Pincus has made an improved *\$1.5 billion* offer for Australian land-lease community operator Ingenia, the Wall Street Journal reported. Foreign bids for Australian residential-adjacent infrastructure remain subject to investment screening.

TRADE-ECONOMY · THE AUSTRALIAN

New England renewable zone costs drive NSW power price warning

Costs in the New England renewable energy zone have blown out, feeding a warning of a New South Wales power price crisis. Energy costs are already a live input into the inflation picture the Reserve Bank board is weighing this week.

TRADE-ECONOMY · THE AUSTRALIAN

Clawback buried in Chalmers's capital gains carve-out for start-ups

A tax clawback embedded in the Treasurer's capital gains tax carve-out for technology start-ups could penalise the largest domestic success stories, The Australian reported. The measure sits alongside the government's push to keep advanced computing capacity onshore.

• UPCOMING

SEP
29

Reserve Bank of Australia Monetary Policy Board decision

A 25-basis-point rise would take the cash rate to 4.6 percent, its highest since November 2011, days after the final budget outcome.

SEP
2026

Fiji government tables a new constitution in parliament

Suva says elections remain on track for February despite the constitutional process.

OCT
26

Advance voting opens for the New Zealand general election

Early ballots begin with the Greens polling at a record and coalition arithmetic unsettled.

OCT
2026

OpenAI chief strategy officer Jason Kwon appears before the Australian AI inquiry

First direct parliamentary questioning of the company over the Medicare portal breach.

NOV
7

New Zealand general election

Determines whether the National-ACT-NZ First coalition continues or a centre-left bloc takes office.

• THE WIRE

PACIFIC-DIPLOMACY

DEVPOLICY BLOG

What Pacific women want global climate advocates to hear before COP31

Pacific women activists tell researchers to stop framing them as victims, fund them directly, and give them decision-making power over water and climate programs. The research was led by the Institute for Sustainable Futures at the University of Technology Sydney with WaterAid Australia, supported by the Department of Foreign Affairs and Trade and the Swedish International Development Agency.

PACIFIC-POLITICS

ABC NEWS

ABC corrects report that Vanuatu revoked Andrew Tate's citizenship

The ABC reported on 21 September, on information from a Vanuatu government spokesperson, that the country was revoking Andrew Tate's citizenship. The Vanuatu Citizenship Office denied the report, and the broadcaster clarified on 25 September that the citizenship had not been revoked.

ISLANDS BUSINESS

SPBD opens 11th Fiji microfinance branch at Korovou

South Pacific Business Development has opened its eleventh Fiji branch in Korovou, Tailevu North, extending financial and business support to rural women entrepreneurs.

US-AUSTRALIA

POLITICO

Australian AI researcher on the fears running through Silicon Valley

Politico interviews an Australian artificial intelligence researcher on how seriously senior figures in Silicon Valley take catastrophic risk from frontier models, as Canberra weighs AI guardrail legislation.

AU-DEFENSE

THE AUSTRALIAN

Five arrested over suspected plot against RAF Fairford

British police arrested five men after three suspicious vehicles were reported travelling towards RAF Fairford in Gloucestershire, a base the United States has used for strikes on Iran. Australian security specialists told the ABC the case does not point to heightened risk against Australian bases.

• ANALYSIS AND OPINION

LOWY INTERPRETER

AI needs trust, and Australia can provide the verification

The piece draws the analogy to nuclear arms control, where verification, not declaration, made restraint credible. It argues Australia is positioned to supply that verification function in emerging AI governance arrangements.

Argument: Arms control for artificial intelligence will fail without verification machinery, in the same way nuclear disarmament would.

CSIS Australia Chair

AUSTRALIA DAILY BRIEF

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